An agreement sold by a life insurance company that provides fixed or variable payments to the policy holder, either immediately or at a future date.

Group Life Insurance

A life insurance policy issued to a group of people, usually through an employer.

Lapse

Defaulting on premium payments leads to the termination of an insurance policy. A lapse notice is sent in writing to the policy holder when the policy has lapsed.

Lump Sum

It refers to the proceeds of the policy that is paid to the beneficiary all at once rather than in installments. Typically, most life insurance policies make lump sum payment settlements.

LIQUIDATION

A process of ‘winding up’ a joint-stock company as a legal entity.

LIQUID ASSET

The monetary asset that can be used directly as payment.

LIQUIDITY

The extent to which an asset can be quickly and completely converted into currency and coins.